



Bill Number: S.B. 1672

Kavanagh Floor Amendment

**Reference to: APPROPRIATIONS,
TRANSPORTATION AND TECHNOLOGY
Committee Amendment**

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

- Specifies that the antipsychotic drug coverage requirements do not prohibit the Arizona Health Care Cost Containment system from:
 - a) collecting federal statutory rebates from participating drug manufacturers as part of the Medicaid Drug Rebate Program; or
 - b) entering into a supplemental rebate contract agreement with a drug manufacturer for preferred placement on the preferred drug list.

KAVANAGH FLOOR AMENDMENT
SENATE AMENDMENTS TO S.B. 1672

(Reference to APPROPRIATIONS, TRANSPORTATION AND TECHNOLOGY Committee amendment)

Amendment instruction key:

[GREEN UPPERCASE UNDERLINING IN BRACKETS] indicates that the amendment is adding text to statute

or previously enacted session law.

[Green lowercase underlining in brackets] indicates that the amendment is adding text to new session law or is restoring previously stricken text to existing statute.

~~[GREEN UPPERCASE STRIKEOUT IN BRACKETS]~~ indicates that the amendment is removing new text from statute or previously enacted session law.

~~[Green lowercase strikeout in brackets]~~ indicates that the amendment is removing text from existing statute, previously enacted session law or new session law.

<<Double green carets enclosing an entire section>> indicates that the amendment is adding the section to the bill.

~~<<Green strikeout with double green carets enclosing an entire section>>~~ indicates that the amendment is removing the section to the bill.

{{ORANGE UPPERCASE UNDERLINING IN DOUBLE CURLY BRACKETS}} indicates that the amendment to an amendment is adding text to statute or previously enacted session law.

{{Orange lowercase underlining in double curly brackets}} indicates that the amendment to an amendment is adding text to new session law or is restoring previously stricken text to existing statute.

~~{{ORANGE UPPERCASE STRIKEOUT IN DOUBLE CURLY BRACKETS}}~~ indicates that the amendment to an amendment is removing new text from statute or previously enacted session law.

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≤≤Double orange underlined carets enclosing an entire section≥≥ indicate that the amendment to an amendment is adding the section to the bill.

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1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 36, chapter 29, article 1, Arizona Revised
3 Statutes, is amended by adding section 36-2907.17, to read:

4 36-2907.17. Prescription antipsychotic drugs; coverage;
5 definitions

6 A. BEFORE PROVIDING COVERAGE OF A PRESCRIPTION ANTIPSYCHOTIC DRUG
7 THAT IS PRESCRIBED TO A MEMBER WHO IS AT LEAST EIGHTEEN YEARS OF AGE AND
8 WHO HAS A SERIOUS MENTAL ILLNESS DETERMINATION FOR WHICH THE PRESCRIPTION
9 ANTIPSYCHOTIC DRUG IS APPROVED BY THE UNITED STATES FOOD AND DRUG
10 ADMINISTRATION AS DESCRIBED ON THE PRESCRIPTION ANTIPSYCHOTIC DRUG'S
11 APPROVED LABELING, THE ADMINISTRATION AND ITS CONTRACTORS:

12 1. EXCEPT FOR THE PROCESS DESCRIBED IN PARAGRAPH 2 OF THIS
13 SUBSECTION, MAY NOT IMPOSE A PRIOR AUTHORIZATION REQUIREMENT OR OTHER
14 PROCESS THAT CONDITIONS, DELAYS OR DENIES THE DELIVERY OF THE PRESCRIPTION
15 ANTIPSYCHOTIC DRUG TO THE MEMBER BY APPLYING PREDETERMINED CRITERIA BY THE
16 ADMINISTRATION OR ITS CONTRACTOR FOR COVERED PRESCRIPTION DRUGS.

1 2. MAY IMPOSE A PROCESS, INCLUDING A STEP THERAPY PROTOCOL,
2 REQUIRING THAT THE MEMBER SHOW A FAILURE TO SUCCESSFULLY RESPOND TO NOT
3 MORE THAN TWO DISTINCT PRESCRIPTION ANTIPSYCHOTIC DRUGS.

4 B. THE ADMINISTRATION AND ITS CONTRACTORS SHALL GRANT A MEMBER OR
5 THE MEMBER'S HEALTH CARE PROVIDER THE ABILITY TO BYPASS A STEP THERAPY
6 PROTOCOL BY PROVIDING A HISTORY OF THE MEMBER'S FAILURE TO SUCCESSFULLY
7 RESPOND TO TWO DISTINCT PRESCRIPTION ANTIPSYCHOTIC DRUGS ON THE MEMBER'S
8 CURRENT OR PREVIOUS HEALTH BENEFIT PLAN.

9 C. ANY STEP THERAPY PROTOCOL OR OTHER PROCESS ADMINISTERED IN
10 ACCORDANCE WITH SUBSECTION A, PARAGRAPH 2 OF THIS SECTION MUST BOTH:

11 1. BE ADJUDICATED ELECTRONICALLY AND IN REAL TIME.

12 2. CONSIDER A MEMBER TO HAVE TRIED TWO PRESCRIPTION ANTIPSYCHOTIC
13 DRUGS IF THE MEMBER HAS TWO PAID CLAIMS FOR TWO DISTINCT PREFERRED
14 ANTIPSYCHOTIC DRUGS [THAT WERE PRESCRIBED IN A NONEMERGENCY OR OUTPATIENT
15 TREATMENT WITHIN THE PREVIOUS FIVE YEARS].

16 D. THIS SECTION APPLIES ONLY TO A PRESCRIPTION ANTIPSYCHOTIC DRUG
17 WHOSE USE IS SUPPORTED BY PEER-REVIEWED, EVIDENCE-BASED LITERATURE.

18 E. THIS SECTION APPLIES TO PRESCRIPTION DRUG COVERAGE THAT IS PAID
19 EITHER ON A FEE-FOR-SERVICE BASIS OR THROUGH A PREPAID CAPITATED HEALTH
20 SERVICES CONTRACT UNDER THE SYSTEM.

21 F. THIS SECTION DOES NOT:

22 1. PROHIBIT THE ADMINISTRATION FROM CONTRACTING WITH A MANAGED CARE
23 ORGANIZATION FOR PHARMACEUTICAL SERVICES OFFERED UNDER THE SYSTEM PURSUANT
24 TO SECTION 36-2904 IF THE CONTRACT COMPLIES WITH THIS SECTION.

25 2. PROHIBIT OR DISCOURAGE THE USE OF A GENERIC DRUG.

26 3. PREVENT THE ADMINISTRATION FROM PERFORMING A DRUG UTILIZATION
27 REVIEW THAT IS NECESSARY FOR PATIENT SAFETY OR TO ENSURE THAT THE
28 PRESCRIBED USE IS FOR A MEDICALLY ACCEPTED INDICATION, AS REQUIRED BY
29 SECTION 1927 OF THE SOCIAL SECURITY ACT.

30 {{4. PROHIBIT THE ADMINISTRATION FROM COLLECTING FEDERAL STATUTORY
31 REBATES FROM PARTICIPATING DRUG MANUFACTURERS AS PART OF THE MEDICAID DRUG
32 REBATE PROGRAM AUTHORIZED BY SECTION 1927 OF THE SOCIAL SECURITY ACT.

33 5. PROHIBIT THE ADMINISTRATION FROM ENTERING INTO A SUPPLEMENTAL
34 REBATE CONTRACT AGREEMENT WITH A DRUG MANUFACTURER FOR PREFERRED PLACEMENT
35 ON THE PREFERRED DRUG LIST.}}

36 G. FOR THE PURPOSES OF THIS SECTION:

37 1. "FAILURE TO SUCCESSFULLY RESPOND" MEANS A DETERMINATION, BASED
38 ON CLINICALLY APPROPRIATE GUIDELINES, THAT A PATIENT HAS FAILED ON A
39 MEDICATION, INCLUDING A LACK OF EFFICACY DURING A SIX-WEEK MEDICATION
40 TRIAL, AN ALLERGIC REACTION, INTOLERABLE SIDE EFFECTS, SIGNIFICANT
41 DRUG-TO-DRUG INTERACTIONS OR A KNOWN INTERACTING GENETIC POLYMORPHISM THAT
42 PREVENTS SAFE PREFERRED MEDICATION DOSING AS ATTESTED TO BY THE PATIENT'S
43 HEALTH CARE PROVIDER.

44 2. "HEALTH BENEFIT PLAN" MEANS A POLICY, CONTRACT, CERTIFICATE OR
45 AGREEMENT ENTERED INTO, OFFERED BY OR ISSUED BY AN INSURER OR BY THE
46 ADMINISTRATION TO PROVIDE, DELIVER, ARRANGE FOR, PAY FOR OR REIMBURSE ANY
47 COSTS OF HEALTH CARE SERVICES.

1 3. "HEALTH CARE PROVIDER" MEANS A HEALTH CARE PROVIDER WHO IS
2 LICENSED PURSUANT TO TITLE 32 AND WHO HAS PRESCRIPTION AUTHORITY PURSUANT
3 TO TITLE 32.

4 4. "INSURER" MEANS ANY PERSON THAT IS ENGAGED IN MAKING ANY
5 HOSPITAL, HEALTH OR MEDICAL EXPENSE INSURANCE POLICY, HOSPITAL OR MEDICAL
6 SERVICE CONTRACT, EMPLOYEE WELFARE BENEFIT PLAN, CONTRACT OR AGREEMENT
7 WITH A HEALTH MAINTENANCE ORGANIZATION OR A PREFERRED PROVIDER
8 ORGANIZATION OR HEALTH AND ACCIDENT INSURANCE POLICY OR ANY OTHER
9 INSURANCE CONTRACT OF THIS TYPE, INCLUDING A GROUP INSURANCE PLAN.

10 5. "PRESCRIPTION DRUG" MEANS ANY PRESCRIPTION MEDICATION AS DEFINED
11 IN SECTION 32-1901.

12 Sec. 2. Effective date

13 This act is effective from and after December 31, 2026.

14 Enroll and engross to conform

15 Amend title to conform

JOHN KAVANAGH

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C: MH

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